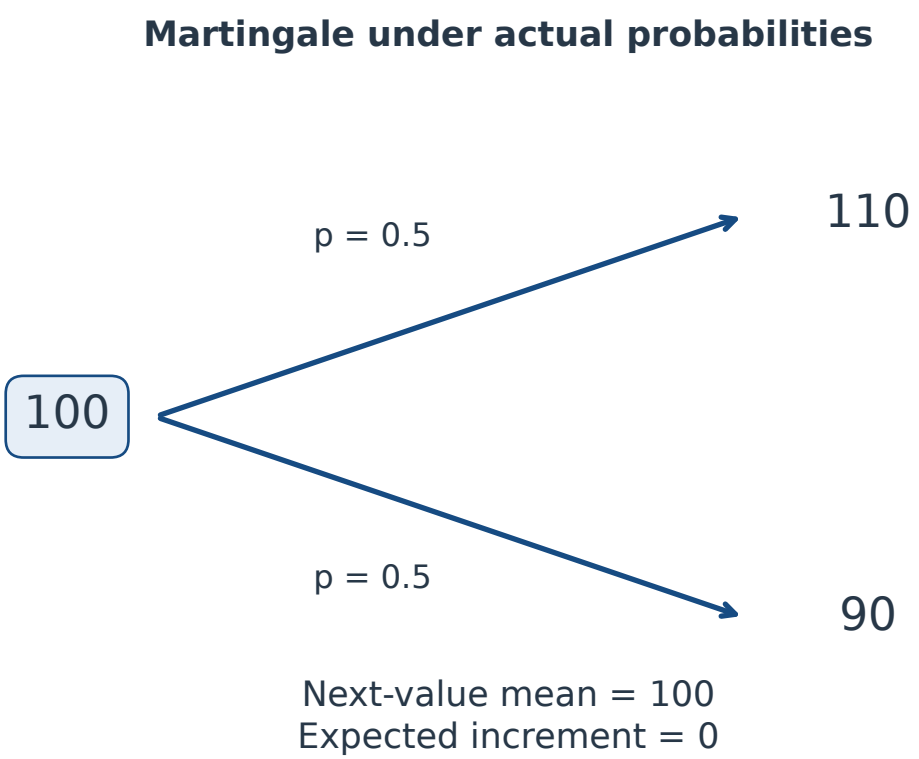
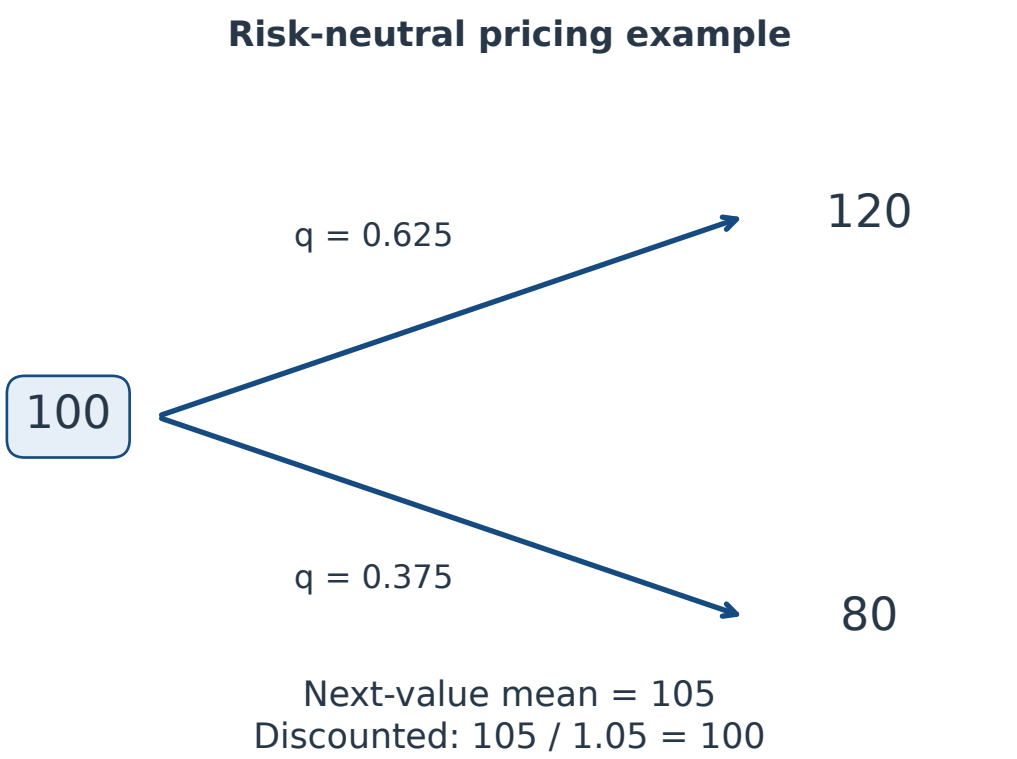

Martingale under actual probabilities
100
p = 0.5
110
p = 0.5
90
Next-value mean = 100
Expected increment = 0


Risk-neutral pricing example
100
q = 0.625
120
q = 0.375
80
Next-value mean = 105
Discounted: 105 / 1.05 = 100